CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER-II-UNIVERSITY EXAMINATION, MAY 2018
MB744.3 COSTING AND CONTROL SYSTEM

Date: 25/05/2018, Friday **Time:** 10:00 AM to 01:00 PM **Maximum Marks:** 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

Q.1 Describe different types of cost in detail? (Mention any 5) 10

Q.2 A Taylor's Differential Piece-Rate System was introduced by F.W. Taylor**,** who believed that the workers should be paid on the basis of their degree of Efficiencies. Explain this wage system? 05

B What factors will you consider while preparing a purchase budget? 05

Q.3 The following data is given: 10

Selling price	20 per unit
Variable manufacturing cost	11 per unit
Variable selling cost	3 per unit
Fixed factory overheads	5,40,000 per year
Fixed selling costs	2,52,000per year

You are required to compute:

a) Break-even point expressed in amount of sales in rupees
b) Number of units that must be sold to earn a profit of Rs. 60,000 per year.
c) How many units must be sold to earn a net income of 10% sales?

Q.4 Custom Ltd. is manufacturing three household products Mill, Chill & Dill and selling them in a given competitive market. Details of current demand, selling price and cost structure are given below: 10

	Mill	Chill	Dill
Expected demand(units)	10,000	12,000	20,000
Selling price per unit	20	16	10
Variable cost per unit			
Direct materials (Rs.10/kg)	6	4	2
Direct labour (Rs 15/hrs.)	3	3	1.50
Variable overheads	2	1	1
Fixed overhead per unit	5	4	2

The company is frequently affected by acute scarcity of raw materials and high labour turnover. During the next period, it is expected to have one of the following situations:

a) Calculate contribution when raw material is key factor
b) Calculate contribution when labour is key factor

Q.5 A Following information has been obtained from the records of left center corporation for the period from June 1 to June 30, 1998. 05 10

Cost of raw materials on June 1,1998	30,000
Purchase of raw materials during the month	4,50,000
Wages paid	2,30,000
Factory overheads	92,000
Cost of work in progress on June 1, 1998	12,000
Cost of raw materials on June 30, 1998	15,000
Cost of stock of finished goods on June 1, 1998	60,000
Cost of stock of finished goods on June 30, 1998	55,000
Selling and distribution overheads	20,000
Sales	9,00,000
Administration overheads	30,000

Prepare a statement of cost.

B Explain any five techniques of inventory control? 05

The following data are forecasted by a company for the purpose of effective cash utilization and management. Estimated sales and cost

Month	Sales	Materials	Wages	Overhead
April	2,40,000	1,50,000	1,60,000	28,000
May	3,50,000	1,75,000	1,65,000	32,000
June	4,00,000	2,25,000	1,60,000	35,000
July	4,50,000	2,40,000	1,65,000	40,000
August	5,00,000	2,50,000	1,65,000	47,000
Sept	5,50,000	2,80,000	1,70,000	50,000

a) Credit items:
b) Sales -20% of sales on cash basis,
   50% of credit sales are collected next month and balance in the following month.
c) Credit allowed by supplies is 2 months
d) Delay in payment of wages is ½ month and of overhead is 1 month
e) Interest on 12%debentures of Rs.5,00,000 is paid half yearly in June and December
f) Dividend on investment amounting to Rs. 25,000 is expected to be received in Jun 2018.
g) A new machinery will be installed in June 2018 at a cost of Rs. 4, 00,000 which is payable in 20 investments from July 2018 onwards.
h) Advance income tax is to be paid in august 2018 is 15,000.
i) Cash balance on 1st June 2018is expected to be Rs. 45,000

Prepare a monthly cash budget for four months starting from June 2018